

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 25-02

NIELSEN & BAINBRIDGE, LLC v.
OCEAN NETWORK EXPRESS PTE. LTD., ORIENT OVERSEAS CONTAINER
LINE LIMITED, OOCL (EUROPE) LIMITED, EVERGREEN LINE JOINT SERVICE
AGREEMENT (FMC#011982), EVERGREEN MARINE CORPORATION (TAIWAN) LTD.,
EVERGREEN MARINE (UK) LIMITED, ITALIA MARITTIMA SPA, EVERGREEN
MARINE (HONG KONG) LTD., EVERGREEN MARINE (SINGAPORE) PTE. LTD., AND
YANG MING MARINE TRANSPORT CORPORATION

**ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE)
LIMITED’S REPLY IN SUPPORT OF MOTION TO SEVER and
MOTION FOR A MORE DEFINITE STATEMENT**

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “OOCL”) respectfully submit, pursuant to 46 C.F.R. 502.70, this Reply in support of their Motion to Sever or Motion for a More Definite Statement regarding the claims against OOCL set forth in Complainant Nielsen & Bainbridge, LLC’s (“NBG”) Complaint (“Complaint”) and its Omnibus Memorandum in Opposition to Respondents OOCL and Ocean Network Express Pte. Ltd.’s (“ONE”) Motions to Sever and for a More Definite Statement (“Opposition”).

INTRODUCTION

As an initial matter, Respondents assert that their Motion is dispositive pursuant to 46 C.F.R. 502.69(g) as it would, if granted, require the claims in the Complaint against Respondents to be severed into a separate and distinct action. This would require Complainant, if it chooses to continue, to file a new complaint (with appropriate specificity) against Respondents. Thus, as

Respondents' Motion is dispositive, Respondents are entitled to this Reply to NBG's Opposition pursuant to Commission Rule 70.

Despite broad assertions to the contrary, there are no allegations within the Complaint that the named Respondents ONE, OOCL, Evergreen Line Joint Service Agreement (FMC #011982), Evergreen Marine Corporation (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd. (collectively "Evergreen"), and Yang Ming Marine Transport Corporation ("Yang Ming") acted jointly or should be held liable, jointly and severally, for any of Complainant's damages. Further, while Evergreen and Yang Ming did not file motions to sever (Opposition at 1¹) they did expressly state that Complainants' claims against the various other respondents do not arise out of the same common transactions or occurrences and reserved the right to move to sever. FMC Docket 25-02, No. 16 (Feb. 3, 2025). Complainant's Opposition responds to each of the five enumerated questions for a trier of fact to determine the proper joinder of parties. But Complainant has not presented any new information that warrants a finding other than as requested in OOCL's Motion to Sever, nor any precedent that would give the ALJ a basis to allow it to join four unrelated

¹ Complainant's statement that "only two out of the five parties to this proceeding" requested the action be severed is misleading. Responding counsel has entered an appearance for (1) ONE (motion to sever filed); (2) OOCL (motion to sever filed); and (3) EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#01 1982), EVERGREEN MARINE CORPORATION (TAIWAN) LTD., EVERGREEN MARINE (UK) LIMITED, ITALIA MARITTIMA SPA, EVERGREEN MARINE (HONG KONG) LTD., EVERGREEN MARINE (SINGAPORE) PTE. LTD., and YANG MING MARINE TRANSPORT CORPORATION (collectively, no motion to sever filed). The relationship between the Evergreen Entities and Yang Ming is not clear, but they are referred to in the Answer as "Answering Respondents" and "Respondent." Further, the Evergreen/Yang Ming Respondents may not have filed a motion to sever, but they did state as an affirmative defense that "the Complaint's claims against the various Respondents do not arise from common transactions or occurrences, and Answering Respondents **reserve their right to request that they be severed, accordingly.**" Answer and Affirmative Defenses, Dkt. No. 16 (Feb. 3, 2025) (emphasis added).

shipping carriers in a single action. Complainant's Complaint is unprecedented in this regard, and it is clear from the wide-ranging Complaint filed in this proceeding that Complainant's counsel's new tact² is to join as many parties as possible. *See also*, FMC Docket 25-03, *Euromarket Designs, Inc. v. MSC, et al.* (complaint filed December 31, 2024). For the reasons set forth in OOCL's Motion to Sever and as further explained below, OOCL's Motion to Sever should be granted.

A. Complainant's Claims do Not Arise out of the Same Occurrence or Transaction.

Complainant contends its claims against all Respondents share "some connection or logical relationship" and include a "nucleus of operative facts or law" and therefore that its claims are properly joined pursuant to Federal Rule of Civil Procedure 20(a). (Opp. at 2). Respectfully, however, all that has been pleaded by Complainant is, essentially, a generic allegation that some or all of the Respondents violated the Shipping Act at some point in either 2020, 2021, or 2022 (Complaint at ¶ 4) including but not limited to issuing demurrage or detention charges to Complainant on one or more occasions (Complaint at ¶¶ 7, 40-41, 149-157), arising out of a Service Contract from either 2020-2021 or 2021-2022 (Complaint at ¶¶ 4, 6, 34-38, 61-65), and possibly through their participation in one of three alliances (Complaint at ¶¶ 12, 51, 60) or due to various mergers (Complaint at ¶¶ 52-54).

In particular, the Complaint does not set forth specific demurrage or detention charged by OOCL against Complainant nor explain why such demurrage or detention was not proper.³ It also is not possible that demurrage or detention charges by each carrier as against Complainant arose out of the "same transaction or occurrence" since, by their nature, demurrage and detention charges

² Compare, FMC Docket Nos. 25-01, 24-12, 23-13, 23-10, 23-02.

³ Complainant's Opposition notes that its Initial Disclosures served to all Respondents specifically lists an amount of \$446,821 in alleged improper detention and demurrage charges against OOCL. (Opp. at 10). However, Complainant's obligation is to plead, with specificity, regarding its claim in the *Complaint*, not to refer generally to unsubstantiated documents produced as Initial Disclosures.

are factually-specific. FMC Docket 1966(I), *TCW, Inc. v. Evergreen Shipping Agency (America) Corp., & Evergreen Line Joint Service Agreement* (Feb. 13, 2025) (order on remand from D.C. Court of Appeals), Slip op. at 15, 18 (reasonableness determinations continue to be decided on particular facts; necessary to make case-by-case determination as to reasonableness of challenged demurrage and detention practices).

To interpret such a broad allegation as a “nucleus of operative facts or law” would essentially allow joinder of any claims against any shipping lines or NVOCCs in any given period. As admitted in the Complaint, 70% of all U.S.-international trade moves by water through U.S. ports. (Complaint ¶ 42). Such precedent would be a dangerous one to set as complainants may be inclined to name any and all carriers with which they have ever interacted in a single complaint with a broad range of allegations; the FMC equivalent of throwing spaghetti against a wall to see what sticks.

B. The Obvious Overlapping Issues of Law or Fact are Insufficient to Amount to the “Same Transaction or Occurrence.”

The existence of “some common questions of law,” as acknowledged in OOCL’s Motion (Opp. at 5) cannot possibly mean that *any* overlapping issues of law and fact warrant a joinder of claims. OOCL’s explanation as to why such overlapping questions are distinguishable is not “baseless” as argued by Complainant (Opp. at 5). Rather, the argument made in OOCL’s Motion is one of logic: of course, claims that carriers have violated the Shipping Act will share common questions of fact and law: there will be the same or similar ports involved, because all vessels coming to the U.S. use the same ports; there will be overlap in the participation in various alliances because many shipping carriers participate in alliances; the reasons for detention and demurrage charges may be similar because all shipping lines carried goods from 2020 to 2022, a period of unprecedented world events and delays in the global supply chain. However, none of Claimants

specific claims (which the Commission has said must be considered on a case by case basis)(*TCW, supra*) involve the same carrier or the same vessel or the same route or the same shipper or the same charges or the same trucker or railroad or the same terminal or the same **actual facts**. It cannot follow that the mere fact that all Respondents operate in the same industry alone warrants a finding that Complainant's claim(s) against each of them presents sufficient common questions of law or fact such that the Complaint be allowed to proceed as drafted.

C. Denying the Motions to Sever Will Not Facilitate Efficiency.

Complainant baldly asserts that joining these claims would not cause delay and that doing so actually would actually "facilitate efficiency" (Opp. at 5-6). Nowhere, however, does Complainant provide any explanation for these bald assertions. Complainant further argues that OOCL's (and ONE's) arguments that efficiency would be hindered is "baseless," and are made without any specific explanations, examples, or precedent. OOCL's position is that, at a minimum, because there is no common facts or events as among Respondents, the briefing documents will be longer and more burdensome to review and respond to than in a "typical" case; that requiring all Respondents to review pleadings that do not relate to shipments carried or organized by them will be confusing and time-consuming; that maintaining issues of confidentiality and privilege will be needlessly complicated; and that page limits and number of deposition limits and other matters of order and efficiency would become difficult to manage where four sets of claims are being addressed.

Looking at some recent cases on the FMC docket can be instructive as to the time and effort that is required to participate in a case like this. To start, NBG's analogy to FMC Docket 20-14, *Intermodal Motor Carriers Conference et al. v. Ocean Carrier Equipment Management Association, Inc., et al.*, ("OCEMA"), is laughable. A brief examination of the filings in that docket make clear there was an actual "common nucleus of facts" to which the majority of Respondents

agreed. *See, e.g., id.* at Dkt No. 95 (Respondents’ Statement of Material Facts) and Dkt. No. 166 (Joint Status Report). That matter, originally filed on August 17, 2020, required four amended scheduling orders, the last of which was issued 16 months after the original complaint was filed.

Then, in *DK-Butterfly-1, Inc. f/k/a Bed, Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Dkt. No. 23-02, the Commission’s Order on Complainant’s Motion to Expand Briefing Page Limits noted that complainant had requested an increase to the standard page limits because “there are five separate claims [by the same complainant against the same respondent] and during discovery, the parties ‘produced hundreds of thousands of pages of documents’ and ‘conducted thirty-one depositions, including three expert depositions.’” Dkt. 23-02, No. 88 (Dec. 5, 2024). Relating those facts to this case, as plead, begs the question would each Respondent need to appear at dozens of depositions that have no bearing on the claims against them? Even if all parties were not required to attend all depositions, Respondents’ counsel could not faithfully serve the needs of their clients without reviewing all documents filed in this action, which would require significant time and cost expenditures that would not arise if the case involved only Complainant and OOCL. Further, there are likely myriad of confidentiality issues that the parties would run up against that would not be solved by merely filing some documents under seal. As among the Respondents in the action there would be sensitive documents that would need to be kept confidential from the other parties to the action. While Complainant asserts that a Protective Order can be stipulated to in this case as the parties have done in other cases (Opp. at 7-8), this statement again assumes that a case against five distinct respondents is the same as a case against one. Why should OOCL even have to contemplate a mechanism for keeping its trade secrets confidential from ONE when there is no overlap to the claims against each of them? The logistics involved in creating a detailed Protective Order could be much more easily rectified if each action proceeded in its own docket.

D. All Respondents Will be Prejudiced by Denying the Motions to Sever.

As set forth above, combining Complainant's unrelated claims against at least four different carriers will result in an unwieldy and complex action. For that reason, Complainant's assertion that its claims are subject to common witnesses and proof (Opp. at 8-9) misses the mark. OOCL takes the view that proceeding with wholly unrelated claims in one action will in fact prejudice each Respondent. There are of course benefits to Complainant, which is why Complainant styled the action in this way. However, a small benefit to Complainant should not weigh in favor of denying the Motion to Sever when Respondents clearly will all be prejudiced.

While Complainants may be able to rely on the same experts or same witnesses for each claim, each Respondent still will have to question those experts and witnesses, and each *Respondent* will have unique witnesses and experts that will need to be questioned. There is no benefit for OOCL to participate in a deposition of ONE's witnesses, for example, because the claims against ONE are wholly distinct. OOCL is then at the mercy of the schedules of three other unrelated carriers, overwhelmed by depositions that are wholly irrelevant to the allegations against OOCL, and spending more of counsel's time parsing the filings to determine what relates to OOCL. Clearly, an easier way forward would be for OOCL to face only whatever claims Complainant has against OOCL, and likewise for each other Respondent to need to address only whatever claims Complainant has against them.

CONCLUSION

For the reasons set forth above and in their Motion to Sever or for a More Definite Statement, Respondent OOCL maintains its request that the Presiding Officer sever Complainant's claims as against OOCL into a distinct action, so as to allow it to proceed separately. In the

alternative, OOCL respectfully requests the Presiding Officer order Complainant to more precisely establish its claims as against OOCL.

Dated: February 20, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to all counsel of record in the above-captioned action by email, return receipt requested, on this 20th Day of February, 2025.

/s/ Emma C. Jones

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